

Staple food prices will remain above-average despite upcoming harvest

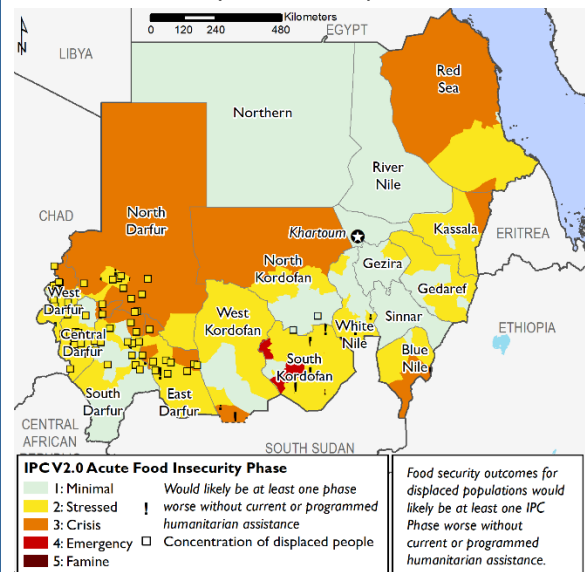
KEY MESSAGES

- Across most of the country, food security outcomes will maintain or improve to Minimal (IPC Phase 1) or Stressed (IPC Phase 2) levels between October and January 2019. Households will begin to access their own food production and in-kind income from agricultural labor with the harvest and increased livestock productivity during this time. However, staple food prices are likely to remain significantly above average due to the ongoing macroeconomic challenges. As a result, household purchasing power will be well below average and assistance needs will be higher than during a normal harvest period.
- Above-average rainfall during the ongoing rainy season continues to favor good crop development and pasture regeneration across Sudan. However, localized torrential rainfall has caused flooding in Sinnar, Blue Nile, and Kassala States and a landslide in Jebel Marra, which has damaged houses, crops, and productive assets. Some poor households in these flood-affected areas have replanted fields with fast germinating sorghum varieties.
- Despite economic and political measures set to reduce government expenditure, the shortage of foreign currency continues to be the major driver of the deteriorating macroeconomic situation. This has led to extremely high prices of imported and locally produced food and non-food items. The extremely high cost of fuel and other agricultural inputs is anticipated to negatively impact the harvest.

CURRENT SITUATION

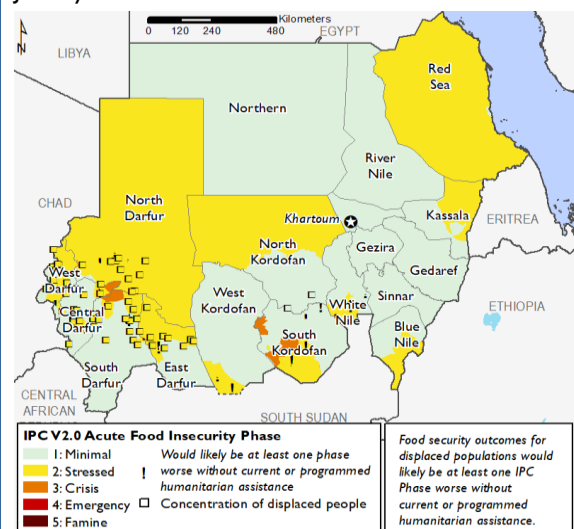
Macroeconomy: The persistent foreign currency shortage is driving the deterioration of the macroeconomy, including the devaluation of the local currency and the continued high rate of inflation which is widening the import trade deficit. This has resulted in a shortage of wheat, wheat flour, fuel, medicines and other non-food items. Despite the government of Sudan adopting austerity measures, reshaping the government and rationing the withdrawal of money from banks to handle the economic crises, extremely high prices of imported and locally produced food and non-food items persist. Due to the lack of wheat and wheat flour imports, bakeries receive about one third to half of their normal quota leading to bread shortages. The price of agricultural inputs (e.g.

Current food security outcomes, September 2018



Source: FEWS NET

Projected food security outcomes, October 2018 to January 2019



Source: FEWS NET

FEWS NET classification is IPC-compatible. IPC-compatible analysis follows key IPC protocols but does not necessarily reflect the consensus of national food security partners.

fertilizers, herbicides, improved seeds) increased by more than three times compared to same period last year, while the fuel shortage also continues to drive transportation costs upwards; as much as 70 percent above the same period last year. These factors contribute to the extremely high cost of production.

Seasonal performance: Between June and September 2018, above-average rainfall continues to facilitate favorable crop development and pasture regeneration. However, in small areas of east and south Kordofan, northern Blue Nile, and eastern Darfur States, normal to below normal rainfall has been recorded. Conversely, heavy rains during the rainy season caused severe flooding in areas of El Gazeira, West Kordofan, Kassala, Blue Nile, Sinnar, West and Central Darfur States, have affected more than 70,000 people and led to 23 deaths and 61 injuries with landslides in the Sampali area in eastern Jebel Marra killing at least 21 people, according to the Sudanese Red Crescent Society (SRCS). In addition, more than 8,900 families have been rendered homeless and are currently residing in temporary sites, or at the homes of relatives. Flooding has significantly damaged crops, specifically in areas of Sinnar, Blue Nile, and Kassala States as farms are submerged in water, although people in flood-affected areas have replanted with quick maturing sorghum across Sudan.

Seasonal Progress: A country-wide mid-season field assessment, jointly conducted by the Federal Ministry of Agriculture, FAO, WFP, USAID and FEWS NET, indicated that fuel shortage and high prices of inputs negatively impacted land preparation, planting and weeding. Despite governmental efforts to provide fuel for the agricultural sector, between 40 and 65 percent of the fuel required for planting was provided, although farming activities continue. The shortage and late provision of fuel resulted in planting delays and forced farmers to plant lower yielding, short cycle varieties of sorghum and negatively impacted weeding activities, and the 2018/19 harvest.

Cereal prices: Cereal prices varied among monitored markets with traders releasing stocks to replenish market supplies in anticipation of the coming harvest. September 2018 sorghum and millet prices were on average 157 to 170 percent above their respective 2017 prices and 210 to 225 percent above the five-year average. Similar to El Gadaref, the national reference market is illustrative of national price trends. Locally produced wheat prices stabilized last month or continued to increase across all markets in Sudan between August and September (Figure 2). Although the September 2018 price for locally produced wheat is on average 180 percent above respective 2017 prices and over 280 percent above the recent five-year average.

Conflict and South Sudanese refugees: According to UNHCR, since the beginning of the year, an estimated 409,119 refugees have arrived from South Sudan, bringing the total number to about 762,000 refugees. No major conflict events have been reported across Sudan since the declaration of the unilateral ceasefire by the Government of Sudan and the main armed rebel groups in Darfur, South Kordofan, and Blue Nile States except for SLM--AW in Jebel Marra. Subsequently, the influx of conflict-displaced people during 2018 declined significantly compared to recent years of active conflict in these areas. The relatively stable security situation in Darfur has also encouraged the return of IDPs to their home villages or government-controlled areas of South Kordofan and Blue Nile States in time for households to participate in this agriculture season. According to recent unverified government estimates, 386,000 IDPs have voluntarily returned to their places of origin and the IOM reports roughly 108,000 IDPs and refugees returned to different parts of Darfur since the beginning of 2018. SLM-AW declared a three-month temporary ceasefire effective September 20th to allow humanitarian access to civilians in landslide-affected areas in Jebel Marra. The ceasefire will likely result in further improvements in stability and allow improved access to farms during the harvest period. Meanwhile, the IOM reported the return of roughly 108,000 IDPs and refugees to

Figure 1. CHIRPS Prelim, September Dekad 4, 2018

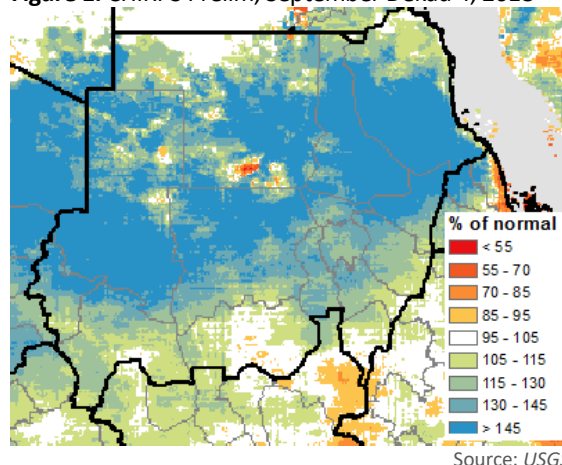
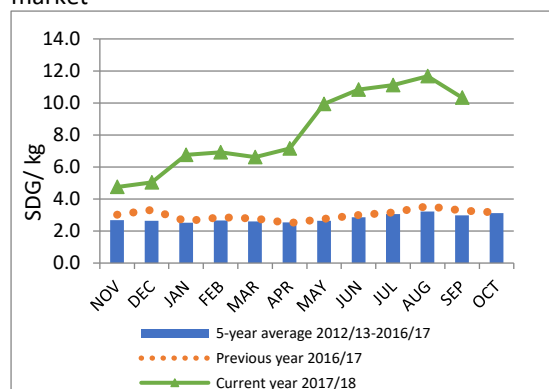


Figure 2: Retail nominal sorghum prices, El Gadaref market



Darfur, since the beginning of 2018, allowing households to plant for the current agriculture season. SPLM-N controlled areas continue to remain restricted with limited population movements, trade, and humanitarian access.

UPDATED ASSUMPTIONS

The assumptions made in the [Sudan Food Security Outlook for June 2018 to January 2019](#) remain unchanged.

PROJECTED OUTLOOK THROUGH SEPTEMBER 2019

Projected outlook through January 2019

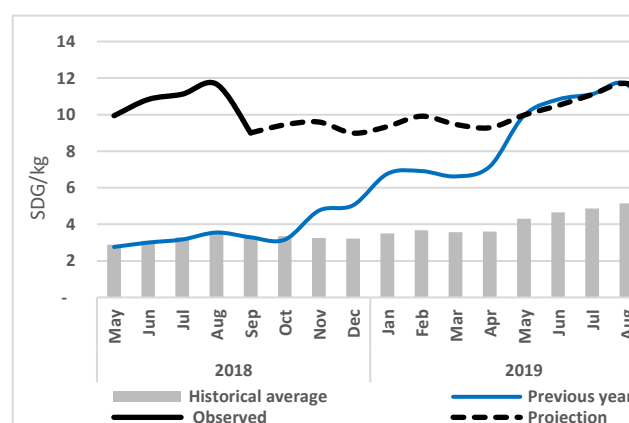
Despite high staple food prices, food security outcomes for the majority of households are likely to improve during the harvest period due to the availability of household food stocks and in-kind payments from agricultural labor as well as increased livestock productivity. The number of people facing Crisis (IPC Phase 3) levels of food insecurity will decrease during the harvest, but will continue to remain atypically high due to the ongoing macroeconomic challenges. Accordingly, food security outcomes for most households in North Darfur and Kassala States will improve to Stressed (IPC Phase 2) and Minimal (IPC Phase 1) levels. Food security outcomes for IDPs and poor households in SPLM-N controlled areas of South Kordofan as well, as for new IDPs in Jebel Marra in South and Central Darfur States, will face Crisis (IPC Phase 3) levels due to their limited access to cultivation, eroded livelihoods, and restricted movement.

Projected outlook through the next lean season September 2019

Despite the forecast average agricultural season, staple food prices are anticipated to remain significantly above-average and increase seasonally earlier than in a typical year, due to the extremely high cost of production and transportation and persistent macroeconomic challenges. This will likely reduce household purchasing power particularly for poor households in food deficit and conflict affected areas that normally import staple foods from main producing areas in central Sudan. FEWS NET assumes the continued absence of subsidies for essential commodities, including wheat subsidies with high food and non-food prices are likely to persist through September 2019. Generally, staple food prices are anticipated to be 80 percent higher than the 2018 harvest period. Although there is uncertainty in this projection, prices during this upcoming lean season will be like the 2018 lean season (Figure 3). During the typical peak of the lean season, access to food and income is low as households' food stocks, in-kind payments, and wild foods are depleted and cereal prices peak; many households will become market dependent to fill their food consumption gaps but will face atypically high prices and will be unable to purchase typical amounts of food.

The current economic crises in Sudan is likely to persist, continuing to reduce poor household's purchasing power and limit their access to market foods. Poor households in the most affected areas will likely be inclined towards: migration to urban centers; non-agricultural employment; the sale of productive assets; and, reduced purchase of basic non-food items to maintain cash income and purchase food. Food access for the majority of households in parts of North Darfur, North Kordofan, Kassala, and Red Sea States will remain below normal and poor households will likely face Crisis (IPC Phase 3) acute food insecurity from June to September 2019. In the conflict-affected areas of SPLM-N controlled areas of South Kordofan and areas hosting IDPs and conflict-affected households in Jabal Mara area in South and central Darfur, where food insecurity situation among IDPs and poor residents is expected to deteriorate to Emergency (IPC Phase 4) from June through September 2019. Other areas of Sudan will likely experience Minimal (IPC Phase 1) and Stressed (IPC Phase 2) levels. Overall humanitarian assistance needs during the next lean season should be below the needs for the 2018 lean season and consistent with the assistance needs during a typical lean season.

Figure 3. Integrated retail sorghum price projection, Gadaref market (SDG/kg)



Source: FAMIS data, FEWS NET projection

ABOUT THIS UPDATE

This report covers current conditions as well as changes to the projected outlook for food insecurity in this country. It updates the FEWS NET's Food Security Outlook, which is published three times per year. Learn more about our work [here](#).